



MAIN ONLINE SUMMATIVE ASSESSMENT

PROGRAMME	Bachelor of Business Administration
	Bachelor of Commerce in Accounting
	Bachelor of Commerce in Entrepreneurship
	Bachelor of Commerce in Retail Management
	Bachelor of Commerce in Marketing Management
	Bachelor of Commerce in Digital Marketing
	Bachelor of Commerce in Project Management
	Bachelor of Commerce in International Business
	Bachelor of Commerce in Financial Management
	Bachelor of Commerce in International Business
	Bachelor of Commerce in Supply Chain Management
	Bachelor of Commerce in Human Resource Management
	Bachelor of Commerce in Information and Technology Management
MODULE	Introduction to Business Management (Business Management 1A)
INTAKE	July 2021
DATE	22 November 2021
TOTAL MARKS	100

SECTION A

[100 Marks]

Understanding of Micro and Macro Factors That Affect Your Business

Every business is affected by a myriad of factors. In other words, an organisation as such can never exist and operate “in a vacuum”. It is a part of a larger entity known as the business environment. In broad terms, this environment can be divided into two categories. The first one is the micro-environment. This category influences the functionality of a particular business itself. The latter one is the macro-environment which affects the operation of all existing business entities out there. The two categories may be different, but both are essential to understand in order to truly see your business in its full context. You have to be knowledgeable about the business environment in order to be able to track and comprehend how various factors affect your company.

The micro-environment is basically the environment that has a direct impact on your business. It is related to the particular area where a company operates and can directly affect all of its business processes. In other words, it consists of all the factors that particularly affect a business. They have the ability to influence the daily proceedings and general performance of the company. Still, the effect that they have is not a long-lasting one. The micro-environment includes customers, suppliers, resellers, competitors, and the general public. The macro-environment is more general - it is the environment in the economy itself. It has an effect on how all business groups operate, perform, make decisions, and form strategies simultaneously. It is quite dynamic, which means that a business has to constantly track its changes. It consists of external factors that the company itself does not control but is certainly affected by. The factors that make up the macro-environment are economic factors, demographic forces, technological factors, natural and physical forces, political and legal forces, and social and cultural forces.

The SWOT analysis (Strengths, Weaknesses, Opportunities, and Threats) is useful both for understanding the micro and the macro factors. The former two are internal and affect the very business, while the latter are external and not under the organisation's control. In terms of strengths, one should ask questions about values brought in, difference made, and so on. On the other hand, when it comes to weaknesses, one needs to evaluate dependency on outside vendors, aspects that need to be improved, and so on. Opportunities are related to favourable circumstances that the company needs to make use of in order to improve its position on the market. Threats are factors that cannot be controlled but need to be acknowledged. This includes political, economic, and customer trends, as well as debts and costs. Both micro and macro factors have a strong influence on how successful your business is. Every decision that you make needs to take these two environments into consideration. Your marketing strategies have to be based on them as well, if you truly want them to be lucrative.

(Source: <https://www.mageplaza.com/blog/micro-and-macro-factors-affect-your-business.html>)

Answer ALL the questions in this section.

Question 1

(25 Marks)

According to the extract, opportunities are related to favourable circumstances that the company needs to make use of in order to improve its position on the market whilst threats are factors that cannot be controlled but need to be acknowledged. As the General Manager of Young Talent Shoe Factory (a factory that makes shoes for young people), highlight FIVE (5) macro environmental forces that may impact your factory and the opportunities and/or threats they will present for your factory.

Question 2**(25 Marks)**

According to the extract, one has to be knowledgeable about the business environment in order to be able to track and comprehend how various factors affect your company. As such, it is essential to know the forces that determines competitions in industries. As the General Manager of Young Talent Shoe Factory, explain to the employees how Porter's five forces can determine the competition for an industry.

Question 3**(25 Marks)**

3.1 The micro-environment is related to the particular area where a company operates and can directly affect all of business processes. The value chain essentially comprises the processes which take place in the micro-environment. Drawing from your knowledge of organisational value chain, provide an outline of what you think the primary and secondary activities of Young Talent Shoe Factory value chain would be and provide relevant examples. (20 marks)

3.2 With reference to the extract, provide a brief explanation of the micro environment of an organisation. (5 marks)

Question 4**(25 Marks)**

Both micro and macro factors have a strong influence on how successful a business is. It is therefore important for organisations to learn to cope with uncertainties in the environment and be able to react to it. In light of this, elaborate on how contemporary day industries can cope with uncertainties in the environment and ways in which they can react to the environment. Provide relevant examples.